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Attorneys for Defendant
ACCURATE BACKGROUND, LLC

UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

SOUTHERN DIVISION

MIGUEL LERMA, JR., individually and on behalf of all others similarly situated,

Plaintiff,

v.

AMAZON.COM SERVICES, LLC, AMAZON LOGISTICS, INC., ACCURATE BACKGROUND, LLC, and DOES 1 to 5,

Defendants.

Case No. 8:22-CV-01727-FWS-JDE

Honorable Fred W. Slaughter

REPLY MEMORANDUM IN SUPPORT OF DEFENDANT ACCURATE BACKGROUND, LLC'S MOTION TO DISMISS PLAINTIFF'S FIRST AMENDED COMPLAINT

Date: February 16, 2023
Time: 10:00 a.m.
Place: Courtroom 10D

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I. INTRODUCTION

As a preliminary matter, Plaintiff has agreed to voluntarily dismiss the California Investigative Consumer Reporting Agencies Act ("ICRAA") claim. This means Plaintiff concedes his criminal record was "reportable" under California law because he was released from prison less than seven years before Accurate Background, LLC ("Accurate") prepared the March 22, 2022 background report at issue (the "Background Report").

Accordingly, the only remaining claims against Accurate relate to the Megan's Law statute, i.e., the alleged reporting of sex offender records from the Megan's Law website. Importantly, in the Opposition, Plaintiff admits that the Background Report did not contain any sex offender records. Opp'n, at pp. 15-16.[1] Plaintiff also admits that Accurate did not itself "use" the Background Report in its role as the consumer reporting agency ("CRA") that prepared the Background Report. *Id.* at p. 17.

Instead, the entire premise of Plaintiff's Opposition is that Plaintiff believes—contrary to the undisputed documentary evidence—that "Accurate ***reviewed*** the Megan's Law website in generating the report." *Id.* at p. 5 (emphasis added). Even if this allegation was true—it is not—this cannot legally justify a Megan's Law claim against Accurate. This is because, to state a claim under Megan's Law, Plaintiff must show that information from the Megan's Law website was both (1) "disclosed" and (2) "used" by the defendant for employment purposes. Plaintiff does not and cannot allege either of these facts, so the Megan's Law claim fails for multiple reasons.

First, the face of the Background Report shows that no sex offender registry information was "disclosed." The portions of the Background Report regarding the "National Sex Offender Registry" show "NO RECORD FOUND." The only information in the Background Report regarding Plaintiff's criminal record is from the Orange County Superior Court. Unsurprisingly, the criminal record in the

[1] For ease of reference, the page citations regarding Plaintiff's Opposition, Dkt. No. 26, reference the page number of the ECF filing stamp.

Background Report does not match the content posted on the Megan's Law website, either directly or as routed from the National Sex Offender Registry (as Plaintiff notes, the information is the same). Instead, the criminal record in the Background Report matches exactly to the publicly available court records from the Orange County Superior Court website. Any allegations that Accurate disclosed information in the Background Report from the Megan's Law website are, thus, contradicted by undisputed documentation and are, therefore, implausible.

In the face of these uncontroverted facts, Plaintiff argues that Accurate "reviewed" or "searched" the information on California's Megan Law website. Plaintiff claims this must be true, even if Accurate did not include any such information in the Background Report, because he appears on these sex offender registration sites. Yet, even taken as true, this cannot support a Megan's Law claim because such a claim requires actual "disclosure."

Second, as the CRA that prepared the Background Report, Accurate did not "use" any of the information in the Background Report for employment purposes (regardless of where it came from). This is fatal to any Megan's Law claim against Accurate. Plaintiff argues that Accurate can still be liable as Amazon's "agent," relying only on two letters that Accurate's software sent on Amazon's behalf. These letters, however, flatly contradict Plaintiff's agency theory (which has no support whatsoever) because they are addressed from "Amazon," they make clear that Amazon was the entity making the employment decision, and they even state "Accurate Background did not make the adverse decision." Opp'n, Ex. A and B, at pp. 24-29.

Plaintiff's remaining FCRA and UCL claims are both premised on the predicate Megan's Law violation. Because the Megan's Law claim fails as a matter of law, so too must these tagalong claims. This result does not change regardless of whether the UCL claim is styled as "unfair" or "unlawful," given that the FAC does not allege any independently "unfair" conduct apart from the Megan's Law claim.

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Further, the FCRA claim fails as a matter of law because Plaintiff has not alleged that Amazon failed to provide the required certifications to Accurate, which is a fundamental element of any such claim.

II. ARGUMENT

A. The Court Should Dismiss Plaintiff's Megan's Law Claim.

The plain text of Megan's Law prohibits prospective employers from **using** any sex offender information from the Megan's Law website that is **disclosed** to them. Cal. Pen. Code § 290.46(j)(2) (prohibiting the "**use of any information** that **is disclosed** pursuant to this section for purposes relating to … [employment]") (emphasis added). Accordingly, to state a claim, Plaintiff must establish that (1) sex offender information about him from the Megan's Law website was disclosed and (2) the defendant used that information for employment purposes. Plaintiff does not plausibly allege either of these fundamental elements against Accurate.

1. The Background Report Did Not "Disclose" Any Megan's Law Information About Plaintiff.

Plaintiff does not dispute that the face of the Background Report does not display information from the Megan's Law website. Opp'n, at pp. 15-16. Nor does he dispute that the Background Report states that Accurate found "No Record" through its National Sex Offender Database search. *Id.* Instead, Plaintiff argues that Accurate secretly searched for, obtained, or relied on information from the Megan's Law website in its investigation and in preparing the Background Report. *Id.* Plaintiff posits that this must be true because, according to Plaintiff, clicking on his name on the National Sex Offender Database automatically takes a user to the Megan's Law website, where Plaintiff's information can be found. *Id.* at p. 15.

Yet, to state a claim, information from the Megan's Law website must be "disclosed." Cal. Pen. Code § 290.46(j)(2). Accurate has shown that no such information was disclosed in the Background Report, which dooms Plaintiff's claim. Plaintiff has no good faith, reasonable, or plausible basis for continuing to assert this

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claim, meaning that it fails as a matter of law. Plaintiff is not "entitled to discovery" on a theory based entirely on conjecture (which the documents contradict) and on which Plaintiff has absolutely no plausible facts. Opp'n, at pp. 14, 16.

Plaintiff further argues that a search of the Orange County Superior Court website would not have uncovered Plaintiff's conviction date, and, therefore, the only way Accurate could have found such information was through the Megan's Law website. *Id.* at p. 16. This is blatantly wrong. As Accurate explained in its Motion, the Background Report shows a conviction date of "01/08/2013" and the Orange County Superior Court record likewise shows the disposition date of "01/08/2013." Dkt. No. 23-1, at p. 13. The Megan's Law website, alternatively, only shows a year of last conviction of "2013." *Id.* at p. 14. Thus, Plaintiff's argument regarding the conviction date not appearing through the Superior Court's website must be disregarded. Plaintiff otherwise fails to address the arguments raised in Accurate's Motion that the Megan's Law website contains entirely different information from what was included in both the Background Report and the Orange County Superior Court records. *Id.* at pp. 12-15.[2]

Last, Plaintiff's arguments regarding the standard of law for documents incorporated by reference in the FAC are misplaced. As Plaintiff acknowledges, a fact is "not subject to reasonable dispute" if it is "generally known," or "can be accurately and readily determined from sources whose accuracy cannot reasonably

[2] Plaintiff also makes a confusing argument that his criminal record could not have been located through the Superior Court because the conviction date was from 2013 and Accurate's search only includes records reportable from the prior seven years. Opp'n, at p. 16. The seven-year reference in the Background Report relates to the length of time a criminal record can be reported in California. Here, Plaintiff's criminal record was reportable pursuant to the ICRAA because his prison release date was within seven years of the date the Background Report was prepared. *See* Dkt. No. 23-1, at pp. 18-21. Thus, Plaintiff's argument makes no sense, and it further misstates the way criminal record searches are completed (the date limitation is not applied at the front-end but is instead applied to any criminal records located).

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be questioned." *Khoja v. Orexigen Therapeutics, Inc.*, 899 F.3d 988, 999 (9th Cir. 2018) (citing Fed. R. Evid. 201(b)(1)-(2)). Further, a defendant can rely on a document in a motion to dismiss "if the plaintiff refers extensively to the document or the document forms the basis of the plaintiff's claim." *U.S. v. Ritchie*, 342 F.3d 903, 908 (9th Cir. 2003).

Here, there is no dispute as to whether the Background Report on its face "discloses" any Megan's Law or other sex offender registration information. A simple review of the Background Report shows no such information is included. Thus, the Background Report does not implicate competing factual theories, which *Khoja* cautions against. 899 F.3d at 989. Essentially, the "factual dispute" Plaintiff attempts to manufacture in the Opposition relates to his (untethered) theory as to what Accurate may have done behind the scenes in preparing the Background Report, not what was disclosed in the Background Report itself.

In sum, Accurate did not disclose any information from the Megan's Law website in the Background Report and, accordingly, Plaintiff's claim must be dismissed. Because there is no way Plaintiff could amend the FAC to cure this deficiency, this claim should be dismissed with prejudice.

2. Accurate Did Not "Use" Any Information Regarding Plaintiff for Employment Purposes.

In the Opposition, Plaintiff claims he is not alleging that Accurate violated Megan's Law "in its capacity as a credit reporting agency or by conducting the background check or generating the background report." Opp'n, at p. 17. However, this was exactly Accurate's role with respect to Plaintiff. Accurate "is a [CRA] that assembles and provides consumer reports to third parties for employment purposes." FAC, at ¶ 7. Plaintiff alleges that "Accurate Background generated a background report on Plaintiff" in connection with Plaintiff's application for employment with Amazon. *Id.* at ¶¶ 23-24.

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In this case, as the CRA, Accurate is not the prospective employer and it does not "use" the consumer report for employment purposes. Thus, Plaintiff's claim as against Accurate fails. Cal. Pen. Code § 290.46(j)(2)(E) ("**use of any information** that is disclosed pursuant to this section for purposes relating to any of the following is prohibited: . . . (E) Employment") (emphasis added). Plaintiff does not make any attempt to oppose Accurate's arguments regarding the plain text of the statute or the relevant case law, which holds that "[m]ere access to and distribution of the information [from the Megan's Law website], whether or not for a commercial or non-commercial purpose, are not bases for liability under the statute." *See McGroarty v. Am. Background Info. Servs.*, No. 08-CV-1360, 2009 WL 980417, at * 3 (C.D. Cal. Apr. 8, 2009); *see also Mendoza v. ADP Screening & Selection Servs., Inc.*, 182 Cal. App. 4th 1644, 1657 (Cal. Ct. App. 2010).

3. Plaintiff Does Not Plausibly Allege that Accurate Was an Agent of Amazon.

Because he cannot rebut the plain text of the statute and the holdings in cases like *Mendoza* and *McGroarty*, Plaintiff argues that Accurate is liable for a violation of Megan's Law because it acted as "an agent and/or fiduciary representative of Amazon" and "refused to hire Plaintiff." Opp'n, at p. 17.

Yet, Plaintiff does not address any of the relevant factors under California law that that are required to establish an agency relationship, as set forth in Accurate's Motion. *See Akins v. Seterus, Inc.*, No. 16-CV-01656, 2019 WL 4243221 at *4 (E.D. Cal. Sept. 6, 2019); *see also Garlock Sealing Techs., LLC v. NAK Sealing Techs. Corp.*, 148 Cal. App. 4th 937, 964 (2007).

Instead, Plaintiff's only allegations supporting his agency theory are that Accurate's software facilitated sending certain letters explaining Amazon's employment decision about Plaintiff. Yet, these very letters show that Accurate ***was not the entity making the hiring decision***. For example, both the pre-adverse and adverse action letters were addressed from "Amazon," explain that it was Amazon

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that requested the Background Report, and state that Amazon made the hiring decision, not Accurate:

- "Enclosed or at the link provided below is a consumer report that was requested about you by Amazon.com, Inc. or its subsidiaries or affiliates ('Amazon')."
- "As you know, Amazon.com, Inc. or its subsidiaries or affiliates ('Amazon') procured a consumer report, also known as a background check on you. We now write to advise you of an adverse action that Amazon has taken against you. Specifically, Amazon has decided not to enter into, or to discontinue, an employment or independent contractor relationship with you."
- "Accurate Background did not make the adverse decision and cannot provide the reason for the decision."

Opp'n, Ex. A and B, at pp. 24-29.

Accordingly, the very documents Plaintiff relies on contradict his otherwise conclusory and implausible theory that "Amazon hires and authorizes Accurate Background to use information in the background report provided by Accurate Background to make employment decisions for and on behalf of Amazon." FAC, at ¶ 29. These allegations are exactly the type of "merely conclusory, unwarranted deductions of fact, or unreasonable inferences" that courts are not required "to accept as true." *See in re Gilead Sci. Sec. Litig.*, 536 F.3d 1049, 1055 (9th Cir. 2008). This is particularly true, as is the case here, where those allegations "are contradicted by documents referred to in the complaint." *Sprewell v. Golden State Warriors*, 266 F.3d 979, 990 (9th Cir. 2001), opinion amended in other respects on denial of reh'g, 275 F.3d 1187 (9th Cir. 2001).

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B. Plaintiff's FCRA Claim Fails Because It Is Entirely Predicated on the Alleged Megan's Law Violation and Because It Does Not Allege Facts Supporting the Required Elements.

Plaintiff also fails to allege facts supporting the necessary elements of his FCRA claim. Specifically, § 1681b(b)(1) of the FCRA states that a CRA may only furnish a consumer report for employment purposes if the "user" of the report makes certain certifications to the CRA regarding compliance with federal and state law. 15 U.S.C. § 1681b(b)(1). Plaintiff's claim fails for two independent reasons: (1) Plaintiff makes no allegations whatsoever about the lack of certifications between Accurate and Amazon; and (2) the claim is predicated on a violation of Megan's law which, as discussed above, did not occur.

First, Plaintiff seemingly acknowledges that the FAC contains no allegations regarding whether Amazon failed to provide Accurate with the required FCRA certification. *See* Opp'n, at pp. 19-20. This is fatal because, to bring a claim pursuant to § 1681b(b)(1), the lack of proper certifications is a fundamental element. *See* 15 U.S.C. § 1681b(b)(1); *Juster v. Workday, Inc.*, No. 21-CV-07555, 2022 WL 3030530, at *12 (N.D. Cal. Aug. 1, 2022) (granting CRA's motion to dismiss § 1681b(b)(1) claim where there were no allegations that the CRA did not satisfy its obligation to get the required certification and, instead, where plaintiff relied on allegations that the CRA assisted its employer customers in violating other state law)[3]; *Marchioli v. Pre-employ.com, Inc.*, No. 16-CV-2305, 2017 WL 7049527, at *12 (C.D. Cal. June 30, 2017).

[3] Plaintiff's argument that *Juster* is inapposite based on a quotation from early in the court's order is incorrect. Opp'n, at p. 20. The latter portion of the *Juster* order (which Plaintiff did not cite) explicitly discusses the requirements for pleading a claim under § 1681b(b)(1). In *Juster*, the court clearly explained that a § 1681b(b)(1) claim must be dismissed where there were no allegations that the CRA did not satisfy its obligation to get the required certification pursuant to the FCRA and, instead, where a plaintiff relied on allegations that the CRA assisted its employer customers in violating other state law. 2022 WL 3030530, at *12.

Accordingly, the FCRA claim must be dismissed on this basis alone. Plaintiff fails to allege that Accurate did not obtain the required certification from Amazon.

Plaintiff nonetheless argues that he need not allege a lack of certifications because "[a]ny purported certification provided by Amazon to Accurate would be illusory and ineffective because Accurate, as the provider of the report and Amazon's agent in deciding to rescind Plaintiff's employment offer, knows that information in the report will be used in violation of Megan's Law." Opp'n, at p. 20. Contrary to Plaintiff's theory, § 1681b(b)(1) establishes requirements for what certifications must be made between a CRA and an entity that uses a report. The statute does not provide a cause of action for alleged "illusory" or "ineffective" certifications. Indeed, Plaintiff's attempt to frame the certifications as illusory has absolutely no bearing on whether he can state a claim. Regardless, in any event, this argument fails for a more fundamental reason. For the reasons discussed above, Plaintiff has not plead a viable Megan's Law claim as a matter of law. Accordingly, the theory that any certifications were illusory or ineffective, based on the alleged actual knowledge of a Megan's Law violation, must fail.

Last, Plaintiff erroneously asserts that the parties did not meet and confer to discuss the FCRA claim, as required by this court's local rules. This is not true. Accurate provided Plaintiff with a written meet and confer letter back in November 2022, which explained why the FCRA claim should be dismissed. Jessica Lohr Declaration ("Lohr Decl."), ¶ 2. Counsel for the parties also participated in a lengthy and detailed meet and confer discussion on December 6, 2022, by phone, during which, counsel for Accurate went through each of the contemplated arguments that Accurate would raise in the Motion to Dismiss, including as to the FCRA cause of action. *Id.* at ¶ 3. As such, the Court should disregard Plaintiff's argument.

C. Plaintiff's UCL Claim Fails.

Plaintiff's UCL claim is entirely based on the alleged improper use of the Megan's Law website. Because Plaintiff's Megan's Law claim fails, so does the

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UCL claim. *See, e.g.*, *Estrada v. Kaiser Foundation Hospitals*, 678 Fed.Appx. 494, 497 (9th Cir. 2017). This is the case regardless of whether the alleged UCL violation is styled as "unlawful or "unfair" because it is the same alleged conduct – "Defendants' use of the Megan's Law website for employment purposes." Opp'n, at p. 21.

Further, Plaintiff lacks standing to pursue his UCL claim because he has not sufficiently alleged he can recover restitution or injunctive relief from Accurate. *See In re Tobacco Cases II*, 240 Cal.App.4th 779, 790 (Cal. Ct. App. 2015). The FAC fails to allege facts showing there is a reasonable probability that past wrongful acts will recur, given that the FAC fails to allege that Accurate engaged in any wrongful acts in the first place. With no remedies under the UCL available, Plaintiff lacks standing to bring such a claim.

III. CONCLUSION

For the foregoing reasons, Accurate respectfully requests that the Court grant its Motion and dismiss Plaintiff's FAC with prejudice and without leave to amend.

Dated: February 2, 2023

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